

Asset Committee Structure

How a committee buys a motorcycle, rickshaw or machine through a licensed modaraba, and who owns what at each stage.

Reference	HQ-CP-01	Version	1.0	Date	25 September 2026
Prepared for	Mr Akif Saeed and prospective modaraba partners			Classification	Confidential

1. The product

An asset committee is a committee formed to buy one named asset for each member, such as a motorcycle, a rickshaw or a sewing machine, from a licensed modaraba's catalogue. The modaraba buys each member's asset and leases it to that member under ijarah for the length of the circle. When the circle ends and every rental is paid, ownership passes to the member. Halqa arranges the circle and keeps the record. It does not own, finance, lease or repossess the asset.

2. The parties

Party	Role
Member	Lessee. Uses the asset from the start of the lease and makes one payment a month on the circle's date
Modaraba	SECP registered. Buys the asset from an authorised dealer, owns it, leases it, insures it and carries the credit risk. Candidates: Orix Modaraba, First Habib Modaraba, Allied Rental Modaraba, First Punjab Modaraba. None contracted

3. How it works

- A host applies to create an asset circle for one catalogue asset. Halqa approves the circle and the modaraba approves each member.
- Known and unknown asset circles follow the rules of ordinary circles: score bands, the undertaking, the mutual guarantee and the affordability test. An unknown circle also needs a verified income account.
- The modaraba buys the asset and delivers it to the member when the lease begins, registered as the modaraba's practice requires.
- Each month the member makes one payment, the rental. From it the modaraba pays the member's contribution into the circle, so the circle is paid in full whatever the member does.
- At the member's turn the pot is paid to the modaraba as advance rental, which repays the asset's cost. When the circle ends, ownership passes to the member by a separate gift or token sale, as ijarah requires.
- If the member stops paying, the modaraba recovers its own asset under its lease. The other members lose nothing.

4. Worked example

Month	Member (seat 5 of 12, Rs 10,000 a month)	Modaraba
0	Receives a motorcycle priced at Rs 120,000	Pays the dealer Rs 120,000
1 to 12	Pays Rs 10,000 plus the modaraba's margin	Pays Rs 10,000 into the circle
5	No change	Receives the Rs 120,000 pot as advance rental
12	Becomes the owner	Transfers ownership; the circle completes

5. What Halqa earns, and the open points

- Proposed income: a referral fee of 2 to 4 per cent of the asset's price from the modaraba, and a dealer commission of 1 to 3 per cent, both disclosed to the member.
- Open before launch: counsel's opinion on arranging credit, the modaraba's minimum ticket, and rental dates aligned to circle dates.

Summary in plain words

A modaraba buys the motorcycle and rents it to the member, who pays once a month on the committee date. The member's committee money pays the modaraba back, and when the committee ends the motorcycle belongs to the member. If someone stops paying, the modaraba takes back its own motorcycle and the other members lose nothing. Halqa arranges it and earns a referral fee.